

Q1 level

Chp:- Balance of payments



Zarrat
Mushtaq

Balance of payments:- It is the record of all economic transactions between residents of one country and the rest of the world during a period of time. It records the money value of the flows of goods and services, sale of assets of all kinds and payments made or received from the rest of the world. Receipts of money are regarded as credits and are entered in the accounts with a positive sign. Outflows of money from the country are regarded as debits and are entered with a negative sign.

Balance of payments

- * Current account
- * Capital account
- * Financial account

Current account

Trade in goods (visible trade) e.g. cars etc
($x - m$)

Trade in services (invisible trade) e.g. Tourism
($x - m$)

Net incomes (dividends, interest etc)
+ve/-ve

Net transfers (government to government)
+ve/-ve e.g. aid

goods and services
↑
Balance of Trade: $x(Tr) - m(TF)$
↓

Difference between
Export revenue and
import Expenditure

{ It is a record of all
transactions which alter
the external assets and/
or liabilities of a country

Capital account :- Buying and selling of fixed assets

Financial account :-

↓
Investment in terms of shares and loan

→ It is a measurement of increases or decreases in international ownership of assets. The owners can be individuals, businesses, government and central bank.

Current account :-

Trade in goods :- These items include the import and export of finished goods, such as cars, and computer; semi-finished goods, such as parts and components for assembly and commodities, such as oil, tea and coffee.

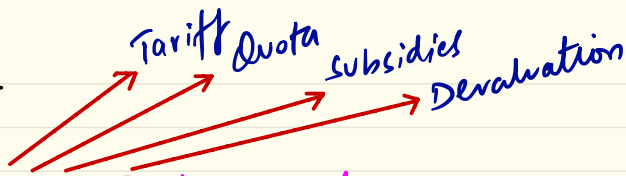
Trade in services :- It include financial services, tourism and consultancy

Income from investment and employment :- Investment income refers to any income made from investing abroad, and include profits, such as those from business activities of subsidiaries located abroad; interest recieved from UK financial investments, and loans abroad, and dividends from owning shares in overseas firms. Payments to individuals who are residents of a country and are employed in another, are also included in the current account.

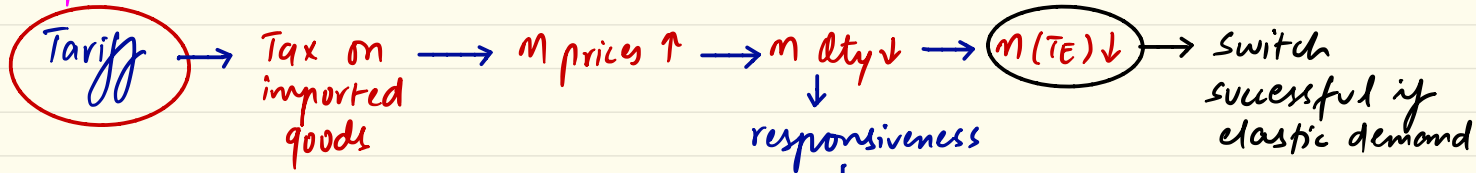
Investment and employment income are also known as primary income.

Transfers :- The final section of the current account includes transfer payments (transfers) arising from gifts between residents of different countries, donations to charities abroad, and overseas aid. Transfers are also known as secondary income.

Balance of payment policies

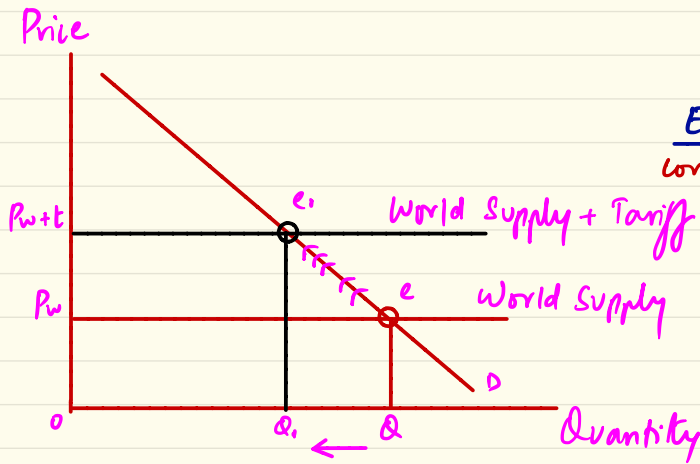
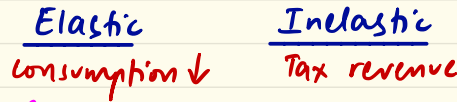


* Expenditure switching policy :- It targets to switch the expenditure of domestic residents from imported goods to domestically manufactured goods.



responsiveness

PED

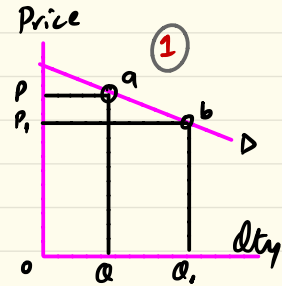


* Advantages and disadvantages covered under protectionism

Devaluation

→ Deliberate action by the government to reduce its value of currency

Depreciation / Devaluation

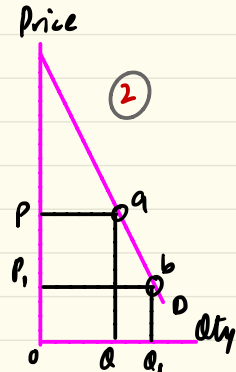


X prices $\downarrow$

X Qty $\uparrow$
 X (TR) ?
PED

M prices $\uparrow$

M Qty $\downarrow$
 M (TE) ?
PED



Shortrun
 Inelastic
 X prices $\downarrow$
 Qty $\uparrow$
 X (TR) $\downarrow$

Longrun
 Elastic
 X prices $\downarrow$
 Qty $\uparrow$
 X (TR) $\uparrow$

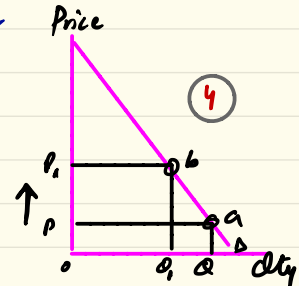
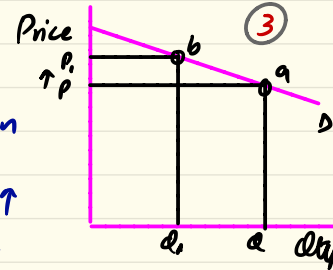
Shortrun
 Inelastic
 M prices $\uparrow$
 Qty $\downarrow$
 M (TE) $\uparrow$

Longrun
 Elastic
 M prices $\uparrow$
 Qty $\downarrow$
 M (TE) $\downarrow$

BoT :- deficit

BoT :- surplus

Devaluation, Shortrun :- Trade deficit
 Longrun :- Trade surplus



Depreciation / Devaluation can be beneficial but it depends on number of factors.

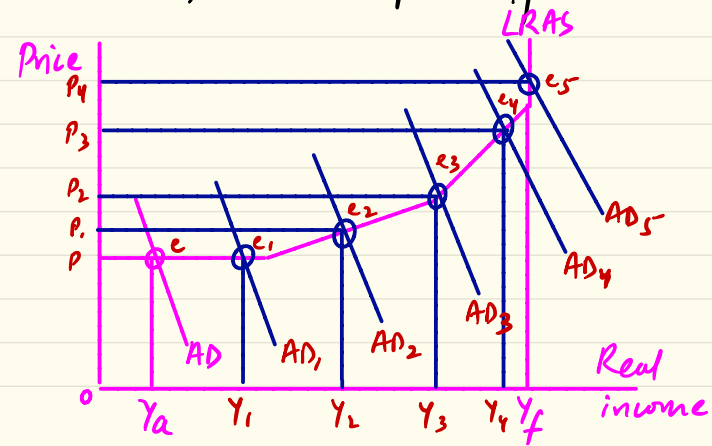
Devaluation makes our exported goods to appear cheaper in international market and relatively imported goods appear expensive to our domestic residents, whether it will create balance of trade surplus or deficit, it will depend on price elasticity of demand.

In shortrun demand for exports and imports is inelastic, depreciation of currency will reduce price of exported goods but quantity will extend by smaller percentage which will reduce export revenue. Along with that imported goods are expensive but with demand being inelastic, quantity demand for imported goods will contract by smaller percentage, increasing import expenditure.

In longrun demand for export and import is elastic, depreciation of currency will reduce price of exported goods but quantity will extend by greater percentage which increases export revenue. Along with that imported goods are appearing expensive and since demand for imported goods is elastic, quantity will contract by greater percentage, reducing import expenditure.

So, in shortrun, import expenditure exceeds export revenue, resulting in trade deficit. While in longrun, export revenue exceeds import expenditure, resulting in trade surplus.

Note:- Expenditure switching policy will be effective in solving the issue of Balance of payment deficit (macroeconomic objective :- Balance of payment stability) but when switch takes place, it conflicts with macroeconomic objective of price stability. After switch, domestic consumption increases, causing aggregate demand to increase, with fixed resources, demand pull inflation exists.



conflicts:-

BOP stability vs Price stability

* Expenditure Dampening / Reducing policy :- It targets to reduce the expenditure of domestic residents on imported goods. The effectiveness of this policy depends on the proportion of income spent on imported goods.

(a) Fiscal policy

Tax ↑

Government Expenditure ↓

Disposable income ↓

Income generation ↓

consumption ↓ consumption ↓

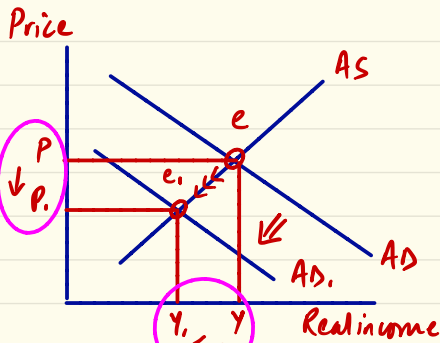
Domestic consumption ↓

Imported goods consumption ↓

Aggregate demand ↓

Balance of payment deficit issue resolved!

Price stability achieved



Long term concern:-
'Deflation'

No conflict,
Price stability
and BOP
Stability!

(b) Monetary policy

interest rate ↑

save ↑

Spending (C) ↓

Domestic ↓

Imported goods ↓

Aggregate demand ↓

BOP deficit issue resolved

price stability achieved

Questions

Total 10 Qs

Marks :- 50

- Q1 Define balance of payments? 4 (Paragraph given)
- Q2 Explain the accounts of balance of payments? 6 (content given)
- Q3 Define expenditure switching policy? 2 (Given)
- Q4 Explain how tariff is a expenditure switching policy? 6
 $m_{prices} \uparrow, m_{Qty} \downarrow, m_{(TE)} \downarrow, C \uparrow, AD \uparrow$ (Draw diagram)
- Q5 Explain how devaluation/depreciation is a expenditure switching policy? 6
 $x_{prices} \downarrow, m_{prices} \uparrow, \text{switch}, C \uparrow$ (Draw diagram)
(Price stability)
- Q6 Explain what objective will be in conflict and which objective will be achieved if expenditure switching policy is effective? 6
(BOP stability and full employment)
- Q7 Define expenditure dampening policy? 2 (content given)
(Tax $\uparrow$, G $\downarrow$), low incomes, $m_{(TE)} \downarrow$
- Q8 Explain how fiscal policy is expenditure dampening policy? 6
 $R \uparrow$ (Save $\uparrow$, Borrow $\downarrow$), low incomes, $m_{(TE)} \downarrow$
- Q9 Explain how monetary policy is expenditure dampening policy? 6

'Q10' on next page.

Q10 Explain what objective is in ^{Full employment} conflict and which objectives will be achieved when expenditure dampening policy is effective? 6
(Price stability and BoP stability)